

Shopify Inc.

SHOP | October 4, 2026

HOLD

Fair value (12-mo horizon reference)	\$137.00
Current price (October 2, 2026 close)	\$151.39
Implied upside / downside	-10%
Verdict	HOLD

Investment Thesis

Shopify is executing at a level that few large-cap software companies can match. Five consecutive quarters of 30%+ growth across GMV, revenue, gross profit, operating income, and free cash flow is a genuine rarity at this scale: second-quarter 2026 revenue of \$3.58 billion grew 33.7%, GMV reached \$115.6 billion up 31.6%, and free-cash-flow margin hit 18%. The business has compounded from a toolkit for small merchants into the operating system for independent commerce - payments penetration at 68% of GMV, Shop Pay past \$400 billion in lifetime volume, enterprise logos like Guess, Avon, Arhaus, and e.l.f. Cosmetics migrating onto Shopify Plus, B2B GMV up 76%, international GMV up 37%. This is a superb company, and the market knows it.

Knowing it is the problem. At \$151.39, the stock prices a long runway of 25%+ growth with continued margin expansion, and that is a demanding setup for a business whose core economics are still tethered to the volume of stuff sold through its merchants' storefronts. Shopify's take rate expands as payments penetration rises and as merchants adopt more financial services, but the merchant-solutions engine is fundamentally a toll on GMV growth - and GMV growth is ultimately a function of consumer spending, e-commerce penetration, and competitive share. The agentic-commerce narrative - Sidekick, Catalog, AI-driven storefronts, 36,000 Sidekick-enabled apps - is real product progress, but it is not yet a monetized revenue stream, and we are skeptical that AI assistants disintermediate checkout in ways that accrue to Shopify rather than to the model providers.

Our judgment is that Shopify's fair value, on a probability-weighted scenario DCF, is \$137 - about 10% below the current price. The base case gives the company full credit for durable mid-20s revenue growth, continued take-rate expansion as payments penetration marches toward the 70s, and operating margins that keep expanding as the post-logistics-divestiture cost structure scales. The bear case, which sits below the price as it must, contemplates GMV deceleration as e-commerce penetration growth normalizes, take-rate expansion stalling as large enterprise merchants negotiate economics, and the AI-commerce surface monetizing slower than hoped. We rate the stock HOLD: we would not sell a compounder of this quality into strength, but we cannot recommend buying a 30% grower at a price that assumes the growth never moderates.

Business Overview

Shopify provides the commerce platform on which millions of merchants in more than 175 countries run their businesses - online storefronts, point-of-sale, B2B wholesale, and increasingly the financial services layered on top. Revenue comes in two streams. Subscription Solutions (\$802 million in Q2 2026, up 22.3%) is the SaaS rent merchants pay for the platform, with monthly recurring revenue of \$221 million growing 19% and Shopify Plus accounting for about a third of MRR. Merchant Solutions (\$2.78 billion, up 37.4%, now 78% of revenue) is the larger and faster-growing stream: payments processing, currency conversion, Shop Pay, capital lending, and partner referrals - effectively a take rate on the GMV flowing through the platform.

The flywheel is straightforward and powerful. More merchants and more GMV widen the base on which Shopify earns payments and financial-services revenue; rising payments penetration (68% of GMV in Q2 2026, up from 60% in early 2024) mechanically expands the take rate; the resulting cash funds product investment that attracts larger merchants. Full-year 2025 revenue was \$11.6 billion, up 30%, on GMV of \$378 billion, up 29%. The company is solidly profitable on a GAAP basis, generates strong free cash flow, and carries a fortress balance sheet. Retention among scaled merchants is excellent - 92% for merchants doing over \$1 million in GMV, 97% above \$10 million.

The frontier of the story is upmarket and international. Enterprise migrations - Guess, Avon, Fred Segal, Holt Renfrew, Country Road, Aritzia, Claire's, Suitsupply named in recent quarters - validate Shopify Plus as a legitimate enterprise commerce platform, not just an SMB tool. International GMV grew 37% in Q2 2026, Shopify Payments is now in 40 countries, and offline (POS) GMV grew 32%. The newest vector is agentic commerce: Sidekick daily active merchants up 3.6x year over year, nearly 34 million Sidekick conversations handled in the quarter, and a product catalog of over a billion items positioned as the structured data layer that AI shopping agents will need.

Forward Outlook

Our forward view is that Shopify keeps growing fast but the rate of growth moderates from the mid-30s toward the low-20s over the next several years, and the market's implicit forecast does not yet allow for that moderation. The mechanics are arithmetic: GMV of \$378 billion in 2025 growing at 30% adds more than \$110 billion of incremental volume a year, and sustaining that percentage growth requires the company to keep finding new GMV pools - enterprise, B2B, international, offline - faster than the core matures. It is doing exactly that today, which is why the numbers are so strong, but each successive pool is harder-won and lower-take-rate than the last.

On the positive side, we believe the payments-led take-rate expansion has further to run. Payments penetration at 68% still has headroom toward the levels seen in mature markets, Shop Pay's 53% growth shows the consumer wallet product compounding, and the capital-lending book (\$2.18 billion with manageable delinquency migration) is an underappreciated high-return asset. The enterprise migration is early - the named wins are real but small relative to the opportunity - and international remains under-penetrated. If agentic commerce becomes a genuine transaction channel rather than a discovery layer, Shopify's billion-product catalog is the best-structured inventory feed in the industry, and the company would be a natural toll collector.

Our skepticism concentrates on two points. First, the AI-commerce monetization path is unproven: an AI agent that comparison-shops across merchants compresses rather than expands take rates, and the value could accrue to the agent operator. Second, Shopify's valuation leaves no room for the law of large numbers. A 30% grower at this price must remain a 25%+ grower for the better part of a decade to earn its multiple; the history of

platform companies says the deceleration arrives sooner and faster than bulls expect. We admire the execution enormously. We simply cannot underwrite the price.

Valuation

We value Shopify on a probability-weighted scenario DCF over an explicit 10-year horizon, weighted 25% / 50% / 25%, with a standard 10% base discount rate reflecting the combination of a strong competitive position and the inherent cyclicity of a GMV-tethered business. The bear case adds 250bp, the bull case subtracts 150bp with an 8% floor. Terminal growth is capped at 2.5% on normalized mid-cycle margins, and terminal value is haircut where it exceeds 70% of enterprise value.

The bear case, which sits below the current price, assumes GMV growth decelerates into the mid-teens as e-commerce penetration gains slow, take-rate expansion stalls as enterprise mix dilutes the blended rate and large merchants negotiate, and agentic commerce monetizes slowly - leaving revenue growth in the low teens by the end of the decade with margins expanding less than the market expects. The base case credits the company with mid-20s revenue growth moderating to the high teens, payments penetration rising into the mid-70s, continued operating leverage toward best-in-class SaaS margins, and a durable moat in the independent-commerce ecosystem. The bull case assumes the enterprise migration and international expansion together sustain 25%+ growth for most of the decade, agentic commerce becomes a real transaction toll, and Shopify emerges as the default infrastructure for AI-mediated shopping.

The probability-weighted fair value is \$137.00, our target, against the October 2, 2026 close of \$151.39 - about 10% downside. The message of the valuation is not that Shopify is a bad business; it is one of the best. It is that the market has already capitalized a decade of excellent execution, and excellent execution from here is the base case, not the upside.

Key Risks

- GMV deceleration: e-commerce penetration growth is normalizing; a consumer slowdown or share loss would hit the merchant-solutions take rate directly, since 78% of revenue is volume-tethered.
- Take-rate pressure: as enterprise merchants become a larger share of GMV, their negotiating leverage on payments and subscription economics could stall or reverse the take-rate expansion the valuation depends on.
- Agentic-commerce disintermediation: if AI shopping agents become the customer interface, the checkout toll could compress or migrate to the agent operator rather than the platform.
- Competition: entrenched enterprise platforms, payment processors building commerce tooling, and marketplace giants all contest pieces of the stack.
- Valuation: the stock embeds a long runway of 25%+ growth; any sustained deceleration would likely re-rate the multiple, not just the growth rate.
- International execution: payments expansion across 40 countries brings regulatory, fraud, and localization complexity that has tripped up fintech expanders before.

What Would Change Our Mind

- Evidence that agentic commerce is a monetizable transaction channel - measurable GMV and take rate flowing through AI-driven surfaces - would raise the terminal growth and duration assumptions materially.

- Sustained 30%+ revenue growth with expanding margins for another two to three years would prove the law of large numbers wrong and justify a higher fair value.
- A meaningful pullback (toward \$110-115) on sentiment rather than fundamentals would flip the risk-reward and move us to BUY.
- Conversely, GMV growth decelerating into the teens while the multiple holds would confirm the overvaluation thesis and could move us to REDUCE.
- Deterioration in merchant retention among scaled cohorts (below 90% for \$1M+ GMV merchants) would signal the moat is weakening.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins - never peak margins - and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.